Order of the Purple Flamingo [*David S, Nabeel A, Uzair Khan, Andy V, Matt K*] Decision Doc.

EXECUTIVE SUMMARY & OBJECTIVES

ISSUE: Presently, U.S. critical infrastructure operators are facing multiple threats from various foreign cyber-criminal groups. In particular, the water sector has been the target of a strategic prepositioning effort, where a state-sponsored APT designated "PESTIS" infiltrated IT and OT networks. Although currently dormant, the C2 system could be activated at any moment to begin causing severe disruptions and damage. Simultaneously, a new class of ransomware known as "RUGRAT" is targeting multiple sectors and large businesses. Although these two operations are believed to be run by separate entities, a proxy connection cannot be ruled out at this time.

OBJECTIVE: The NSC is being asked to initiate cross-agency responses to rapidly stabilize critical infrastructure, protect cyberspace, and reduce escalation risks. The aim of these responses is as follows: Establish a map of victims, understand attacker capabilities and infrastructure, strategize and execute surgical disruption operations, implement long-term regulation changes to address legacy system vulnerabilities, and formalize the roles of private sector cyber auxiliaries.

KEY SECURITY CONCERNS

1	**RISK:** State-backed adversarial pre-positioning in the water sector and critical municipality operations. **IMPACT:** Threat of service disruption, environmental damage, and health risks.	**NCISS SCORE:** MEDIUM
2	**RISK:** Cascading failures across industries due to water sector vulnerabilities and sector interdependence. **IMPACT:** Degraded service impacts business consumers such as power generation, manufacturing, and data centers.	
3	**RISK:** The Ransomware-as-a-Service ecosystem and new RUGRAT campaign. **IMPACT:** Financial losses and lowered public trust, use of shared TTP's severely complicate attribution.	

POLICY OPTIONS & ADVISED ACTIONS

The following plan-of-action options are being proposed. Depending on how the situation escalates, the NSC is advised to choose policies and actions according to new developments within acceptable risk tolerances.

PHASE 1: CONTINUED INTEL COLLECTION

The NSC should convene an interagency task force that includes the FBI, CISA, and the EPA to oversee policy execution. The NSC should authorize the pursuit of the Rule 41 Amended Warrant under the FBI, on the strict condition that the use of the warrant is scoped to operations that map infrastructure that has been infected by PESTIS, under the supervision of the DOJ. Simultaneously, the FBI and Treasury will trace RUGRAT Bitcoin wallets and identify cash-out points to aid attribution. Finally, a confidential TLP:RED advis`ory will be issued to E-ISAC and MFG-ISAC, advising at-risk members take a "shields-up" stance and remain vigilant for anomalous behaviors.

Pros: Low-risk, maintains operational security.
Cons: Does not halt malicious activity, non-intrusive limitations.
Stakeholders: DOJ, CISA, EPA, FBI, NSC, Treasury, E/MFG-ISAC.

PHASE 2: INTEL VALIDATION & INFO BRIDGING

Phase trigger: An initial victim map becomes available.

In order to bridge intelligence gaps with the private sector, the NSC should authorize ODNI to declassify technical IOC's of PESTIS. This intel should be shared with cloud providers, and in return, they will be expected to share detections of PESTIS activity in order to aid investigations. DOJ must direct these providers to preserve adversary-controlled systems for forensic analysis and refrain from performing disruptive actions without federal coordination. The Rule 41 Amended Warrant scope can be expanded to task domestic ISPs with voluntary monitoring of traffic to known C2 domains.

Pros: Low-risk, build a foundation for future active disruptions.
Cons: Legal friction, risk of inadvertently alerting the actor.
Stakeholders: ODNI, DOJ, FBI, Cloud providers, ISP's.

PHASE 3: DISRUPTION & DEFENSES

Phase trigger: Confirmed shift to aggressive behavior by adversary.

Using intel gathered from Phase 2, and after conducting an impact analysis, the NSC may authorize Rule 41 Amended Warrant scope expansion to include takedown and seizure operations, on the condition that such actions would not cause severe disruptions to critical domestic operations. Disruption actions will be designed to preserve attribution ambiguity and minimize interstate escalation risk. Meanwhile, high-risk and confirmed victim municipalities will be directed by the EPA to fully air-gap OT systems and revert to manual operation where safe and operationally feasible. DHS Public Affairs will deliver strategic communications to congress and state leaders regarding this situation in order to quell fears regarding overreach.

Pros: Directly severs adversary access and addresses public concern.
Cons: Medium-risk of further situation escalation/collateral damage.
Stakeholders: CISA, DHS, EPA, FBI, WaterISAC, Municipalities.

PHASE 4: REGULATORY REFORMS

Phase trigger: Post-resolution of active threats.

In the long term, after this situation is resolved, new regulations to address the vulnerabilities present in legacy systems will be needed. Once a situational review can be completed and applicable cyber kill-chains have been documented, the government may opt to introduce new regulatory frameworks and minimum security baselines for critical sectors. ONCD and Congress may also establish legislation for future cases where private intervention is necessary to carry out public 'active defense' operations. This would allow for more formal, information-sharing relationships to be formed with the industry, which would professionalize their role within national cyber defense.

Pros: Clarifies legal standards, addresses systemic vulnerabilities.
Cons: High-risk of substantial economic and political burdens.
Stakeholders: Congress, EPA, ONCD, Industries.

Color legend: [Green] - Low risk [Yellow] - Medium risk [Red] - High risk